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ABSTRACT

Much of the existing literature shows that factor mobility across industries has important political economic implications but that it is exogenous to the political process. This article argues that labor's mobility across industries can be endogenous to changes of power relations due to partisan reasons. Based on a general equilibrium model, the prediction is that, when unions are decentralized, governments led by left-wing parties seek and obtain higher labor mobility than do governments led by rightist parties. However, as unions become more centralized, this distinction becomes less clear-cut. Time series cross-sectional analyses of OECD countries from 1960 to 1999 support this prediction and the endogenous labor mobility hypothesis.

KEYWORDS

Domestic politics; endogenous factor mobility; interindustry labor mobility; partisanship; union centralization

In a number of studies in the field of political economy, the ability of factor owners to move their productive assets across sectors features prominently. In this article the word *factor* primarily refers to capital or labor. This ability is known as the cross-sectoral, or interindustry, factor mobility. Mobile factors determine whether the Heckscher-Ohlin-Stolper-Samuelson framework or the Ricardo-Viner specific factors model respectively is more appropriate to explain the politics involving international trade (Jones 1971; Samuelson 1971; Stolper and Samuelson 1941).

Besides trade, cross-sectoral factor mobility and, especially, cross-sectoral labor mobility play an important role in the literature on the varieties of capitalism (VoC). According to Hall and Soskice (2001a), one important difference between coordinated market economies (CMEs) and liberal market economies (LMEs) is that the institutional complementarities established within CMEs favor the construction of long-term relationships and formation of specific skills, and in LMEs the opposite tends to be true. It follows that skills and human capital tend to be more specific in CMEs than in LMEs, so the inference is that cross-sectoral labor mobility is usually lower in CMEs than in LMEs. Of course, the diverging patterns of labor mobility (or conversely,

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labor specificity) may, in turn, reinforce the respective institutional complementarities, which are the very foundations of the varieties of capitalism.

Further, cross-sectoral factor mobility may affect the trajectory of economic growth of a country. Barriers to cross-sectoral factor movement can take many forms. They include the coercive attachment to land through slavery or debt bondage, guilds that limit the talents in and out of an industry, aristocracy that reserve the access to public service to those of noble birth, and limited access to credit where lending depends on the identity of the lenders and the borrowers, not on the merits of a project (Przeworski 2007). Przeworski argues that such barriers to factor mobility may result in mismatching skills and opportunities that may reduce the overall productivity.

The literature thus largely agrees that the degree of factor mobility can fundamentally shape an economy. What is surprising, given factor mobility's foundational role, is that authors of most studies remove politics from factor mobility and simply assume that the interindustry factor mobility of a country is exogenous to the domestic political economy in question (Frieden 1991; Grossman and Helpman 1994; Hiscox 2002a, 2002b; Mukherjee, Smith, and Li 2009; Rickard 2005; Rogowski 1989), with few exceptions.[1] Through this article, I confront the conventional assumption of exogenous factor mobility head on and focus on *interindustry labor mobility* (ILM).[2] I argue that in the short term, ILM can be shaped by domestic political processes, due primarily to the logic of partisan politics.

Observing that politics in almost all advanced industrial countries is dominated by partisan politics along a left–right dimension, I argue that both left and right governments will prefer a cohesive core constituent base to implement their preferred partisan policies. A general equilibrium model shows that ILM levels shape the cohesiveness among labor and capital owners. Other things being equal, a higher ILM level leads to more cohesive labor and less cohesive capital. Hence, left (right) governments prefer to have high (low) ILM levels to foster support from a cohesive labor (business) constituency. Further, centralization of domestic union movement moderates the effect of partisan politics. Centralized unions innately prefer high ILM, and their presence conditions different partisan governments' strategy

[1]Alt and Gilligan (1994) argue that factor owners can invest more (less) in the industries where assets are highly specific to their current use to commit themselves to a certain course of protectionism (liberalization) and sway the government's political decisions. Brawley (2006) suggests that governments whose electoral fortunes depend heavily on the dominant trade cleavages may engage in interventions aimed at shifting the dominant cleavage, targeting especially the swing groups. In so doing, he no longer treats societal cleavages (which can be regarded as the direct consequences of levels of interindustry factor mobility) as exogenously given but rather argues that they are susceptible to political manipulations. Further, Hiscox (2002b) argues that, in the long run, domestic factor mobility may be affected by government policy and regulation, though he maintains that the most important source of changes in factor mobility comes from technological changes.

[2]ILM is workers' ability to move across industries, which is defined as "the elasticity of substitution along the transformation curve that maps the conversion of a factor located in one industry for use in another industry at increasing opportunity costs" (Hiscox 2002b).

toward ILM, so that the clear partisan correspondence with labor mobility levels will be most manifest under decentralized unions.

Governments around the world have traditionally intervened in the labor market for a variety of purposes, including changing workers' mobility across sectors. For instance, since the 1990s, successive Danish governments greatly increased investment in job retraining programs. These programs, in combination with other aspects of the Danish welfare system, including generous unemployment benefits, health care, and portable pensions, have to a large extent removed fears of job loss and enabled Danish workers to better adjust to employment changes induced by globalization. As another example, Swedish governments have long been engaged in interventions in the economy, arguably at the behest of the Swedish Confederation of Trade Unions (LO). LO has been advocating the coordination of economic and wage policies and increasing labor's adaptability to counter the volatility in the labor market throughout the post-war era. These proposals for wage constraints and increased adaptivity have been implemented by Swedish governments through institutions such as the National Labor Market Board (Hiscox 2002b; Katzenstein 1985; LO 1953, 1963). To a large extent, those empirical observations motivated me to engage in research on this subject.

A Theory of Endogenous Interindustry Labor Mobility

Partisan Governments and Labor Mobility

Modern political parties take positions that reflect their general ideological preferences and the interests of their constituents. Studies on partisan politics and macroeconomic policies have found that there is a prominent left–right differentiation among parties, especially in advanced industrial countries. On the one hand, left parties tend to be labor oriented and working-class based, and their main constituency would include mainly lower-income individuals. Left parties and their constituents will generally favor the macroeconomic policies aimed at achieving low unemployment and high economic growth and are more sympathetic to redistributive government policies. On the other hand, right parties tend to be business oriented and upper-middle-class based, and their core constituency is composed mainly of wealthier individuals who usually hold financial capital. The macroeconomic policies favored by right-wing parties and their supporters will likely be characterized by low inflation and moderate growth; these parties are also much more averse to redistribution through the welfare state.

A large body of literature exists on partisan politics and the left/right correspondence with the labor/business classes (Alesina and Rosenthal 1995; Alesina, Roubini, and Cohen 1997; Hibbs 1977, 1987, 1994; Iversen 2006; Przeworski and Sprague 1986). Dutt and Mitra (2005:59–60) state that, "It is fairly standard in the political economy literature to use left-wing (right-wing) and pro-labor (pro-capital) interchangeably when describing political parties."

Once parties are in power, partisan differentiation in macroeconomic performances and in policy preferences tend to manifest itself (Alesina and Rosenthal 1989, 1995; Boix 1997; Garrett 1998; Milner and Judkins 2004). According to Hibbs (2006:671), "The interests and preferences of core party constituencies predispose left governments to pursue relatively expansive policies intended to raise growth and lower unemployment and right governments to pursue relatively restrictive policies designed to contain inflation." In this article, I assume that partisan governments will implement policies that primarily reflect the preferences of the dominant parties within the governments. In addition, I set that the dominant parties are either pro-labor or pro-capital, depending on their main constituency bases.

It is justifiable to stress parties' policy concern. Müller and Strøm (1999) argue that political parties, and particularly their leaders, are most frequently engaged in hard struggles to find the proper balance among three distinct goals: office, policy, or votes. Once in government, however, parties will likely be preoccupied with whether they could implement their preferred policies or whether they could garner enough votes in the next election to remain in government. As votes can only plausibly be instrumental goals, the most important concern for parties in government will be how to implement their ideal policies. Additional support for emphasizing parties' policy concern comes from the literature on partisan models of party competition. According to the latter, parties as well as voters care about policy outcomes in addition to winning elections (Calvert 1985; Wittman 1977, 1983) and, rather than parties' choosing policies to win elections, as illustrated in a Downsian model, "parties want to be elected in order to choose policies" (Alesina and Rosenthal 1995:17).

A unified and cohesive party or governing coalition tends to have an advantage in decision making over an internally divided and heterogeneous party or coalition; such an advantage is more pronounced when the party or coalition is in the government, trying to implement its preferred policies. Intuitively, heterogeneity adds a number of veto players to the decision-making process, and as the number of veto players increases, the probability of making policy changes decreases (Tsebelis 2002). Higher cohesiveness among the constituency tends to decrease the number of the potential "veto players," as various segments now possess increasingly similar economic interests. To the extent that parties care about policy outcomes, they have an interest to maintain cohesive constituencies so as to decrease the number of potential veto players. The following model shows how ILM is intrinsically linked with the cohesiveness among the constituencies of different political spectrums.

A Simple General Equilibrium Model on Constituency Cohesiveness

Ronald Jones (1965, 1971) proposes a general equilibrium model that analyzes an economy that consists of two factors (labor and capital), two sectors, and two commodities; this model has been further developed by others (Hill and Méndez 1983; Hiscox 2002b; Parai and Yu 1989). The model reveals a clear link between levels of ILM and the relative income of labor and capital owners. This article builds upon the model to analyze the relationship between ILM and constituency cohesiveness.

Directly related to my purpose, the model shows the following relationships:[3]

$$\frac{\partial(|\hat{w}_1 - \hat{w}_2|)}{\partial \eta_L} < 0 \tag{1}$$

$$\frac{\partial(|\hat{r}_1 - \hat{r}_2|)}{\partial \eta_L} > 0 \tag{2}$$

Where $(|\hat{w}_1 - \hat{w}_2|)$ denotes the absolute difference between relative (or percentage) changes of labor factor returns for the same labor factor in different industries, here a caret " $\wedge$ " over a variable denotes the percentage change in that variable—for example, $\hat{w}_1 = dw_1/w_1$. This absolute difference, therefore, can be taken to indicate "labor class solidarity" (Hiscox, 2002b).[4] Similarly, $(|\hat{r}_1 - \hat{r}_2|)$ denotes the absolute difference between relative changes of rental rates for the same capital asset used in different industries. η_L denotes the level of interindustry labor mobility (ILM) within this economy.

As the utility to owners of any type of factors would depend on the income derived from their assets, the model can highlight how the fundamental economic interests of labor and business groups are affected by different levels of ILM. Furthermore, the model indicates that different levels of labor mobility will have implications on the cohesiveness among different types of factor owners and affect their political support for partisan governments.

Equation (1) illustrates that higher labor mobility (η_L) is associated with a convergence of wage income among labor owners across industries, that is, a dynamically more equitable labor income distribution (or higher labor solidarity). In other words, with an increase in labor mobility, changes of wage in Sector 1 will be more in sync with changes of wage in Sector 2. Thus, workers employed in either Sector 1 or Sector 2 will be in more stable economic

[3]A complete derivation of the model is available in the online appendix to this article.

[4]Conforming to the literature, "class solidarity" is measured as the absolute differences between relative changes of returns for the same factor used in different industries, with smaller values denoting tighter class solidarity. Shrinking absolute differences indicate higher solidarity, which means that, given any skill level, returns to different owners of the same factor across industries are more likely to be stable, and the relative positions of each factor owner within the economic structure tend to be fixed; less solidarity means such structure is less stable and more prone to change. Hence, the absolute difference between relative changes of wages indicates labor class solidarity, while the absolute difference between relative changes of capital returns indicates capital class solidarity.

relations relative to one another; no workers' group can improve their incomes relative to the other group by simply being employed in a specific industry. Other things equal, an increase in ILM results in workers' income being determined more by the general labor market skills of the workers than by anything else. Hence, higher ILM correlates with higher labor class solidarity, that is, the dynamic convergence of wages among similarly skilled workers. As a result, labor class cohesiveness will monotonically improve with increases in ILM levels.

Equation (2) shows that higher labor mobility correlates with a divergence of capital returns among similar capital assets across industries, thus, lower levels of capital class solidarity. Stated differently, with an increase in labor mobility, changes of returns to capital in Sector 1 will be more out of proportion with changes of returns to capital in Sector 2; therefore, capital owners in one industry can improve their economic positions relative to capital owners in the other industry simply by using their capital in a specific industry. The dynamically increasing difference of capital returns to otherwise similar capital assets will decrease the capital class solidarity. Hence, capital class cohesiveness monotonically deteriorates with increases in ILM levels.

Equation (2) shows an unambiguous effect, but the mechanism linking low ILM levels and higher capital class solidarity is not at all clear; this is akin to the difference between causal effect and causal mechanism as discussed in King, Keohane, and Verba (1994, chapter 3). I make an educated guess within the general equilibrium framework that the reason for this association may be that low ILM levels prevent high-productivity workers from responding to intersectoral wage differentials and moving across industries, so that a number of such workers stay within industries that would otherwise lose them to other industries. These workers continue to have high output so that their employers will have higher-than-normal rates of return to capital, even though they have been paid lower than what their productivity would warrant. Parallel to this development, there are workers with low productivity who remain in other industries with high wages, so that those industries will have lower-than-normal rates of return to capital. Further, in equilibrium, lower- or higher-than-normal rates of return to capital tend to cancel each other out, and capital used in different industries will earn similar rates of return when ILM levels are low. What follows is that, when ILM levels are low, it matters less for capital owners which industry they have invested their assets in; what counts more is their identity as capital owners, which tends to ensure them a certain rate of return everywhere in the economy.

Symmetrically, I can infer that with a unit decrease of the ILM level, labor class solidarity will deteriorate, and capital class solidarity will improve. With regard to the relation between labor mobility levels and politics, high levels of ILM are associated with high levels of labor cohesiveness. Through the mechanism of labor mobility, labor owners acquire a stake in the success of labor-benefiting policies, as they can reap gains from such policies by exercising their ability to move to more productive industries.[5] Therefore, with high labor mobility, there will be high cohesion across workers for labor-benefiting policies, and hence the support for labor-benefiting policies from labor owners will be high. Similarly, high ILM levels will lead to deteriorating cohesiveness among capital owners, as some capital owners can make economic gains relative to other capital owners simply by investing their assets in certain industries. Therefore, with high labor mobility, there will be low cohesion among capital owners, and the general level of support among capital owners for the capital-benefiting policies will be low.

The model, therefore, reveals an unambiguous, positive (negative) relationship between ILM levels and labor (capital) class solidarity, and it can be inferred that levels of ILM bear directly on the degree of public support for the partisan political agenda. I argue that in order to push forward the partisan political agendas, governments will engage in partisan manipulation of labor mobility levels. Specifically, left-leaning governments will prefer to have relatively high levels of ILM to maintain a solid labor constituent base, while right-leaning governments will favor relatively low ILM levels to help keep the business constituent base together.[6]

For example, it can be argued that the longtime dominance of Swedish politics by the Swedish Social Democratic Party (SAP) is due in large part to the support of LO and SAP's reciprocal implementation of LO-favored policies (Heclo and Madsen 1987). LO's goal of achieving full employment is exemplified by the Rehn-Meidner model, whose principle of wage solidarity can be summarized in the phrase "equal pay for equal work," that is, equal work

[5]When levels of ILM are high, all policies are either labor-benefiting or non-labor-benefiting. Even if some policies are purported to benefit only parts of the labor force, the labor mobility mechanism will spread the benefit to the whole labor force, as (1) high ILM ensures that high productivity workers can move into those policy-favored industries; and (2) the absolute differences between relative wage changes will be small with high levels of ILM, so that wages of those industries that are not policy favored will also rise in sync with those that are policy favored.

[6]One concern of using the intuition and logic of the Jones model to reveal the relationship between labor mobility and labor cohesiveness is that there are usually different groups of workers in the labor market, and their mobility at sector level may be different from the aggregate national labor mobility on which the previous discussions rely. It may be that groups of workers enjoy different cross-sector mobility (often determined by skill levels) so that high national ILM may not equate to high mobility for all workers and, thus, high labor class solidarity. Another concern, in line with the "protection for sale" framework, is that sectors that benefit from limited cross-sector mobility may lobby the government not to (continue to) pursue high aggregate labor mobility, so that, even if high ILM levels are desirable, governments may not actually pursue them. In addition to a major intervening factor identified in the next section, I offer two possibilities to address this concern. First, this concern hinges on the willingness and capacity of interest groups to pursue their specialized interests, yet it is not clear that all interest groups in all countries can and will seek special treatment or protection, as expressed in this concern (Wade 1993). Realization of special-interest preferences also depends critically on the configuration of a country's political institutions and its geography (McGillivray 2004), so that not all countries can claim to have a favorable environment for the protection for sale model to work. Second, even if we do allow the special interest groups to have direct access to government policymaking, it is not clear that they will lobby for a coherent set of policies regarding ILM. It may well be that some groups (sectors) prefer high-aggregate ILM, while others prefer low ILM, and on net these diverging influences may cancel each other out so as to have little impact on government policymaking. Hence, in this article, I focus on the aggregate cross-sectoral labor mobility levels.

across industries should receive equal pay, and any wage differentials must be justified by the degrees of difficulty of the work (Erixon 2008; Hibbs and Locking 1996; Zhou 2016). As mentioned before, a number of policies and institutions aiming to increase labor adaptivity have also been established by Swedish governments (Hiscox 2002b; Katzenstein 1985; LO 1953, 1963).

Like all modeling exercises in social sciences, the strength of modeling is to reveal the relationship parsimoniously, while the weakness is that it cannot easily account for the richness of the social and political complexity. The two-factor, two-sector model underlying this article is no exception. A hidden assumption for my argument is that such a two-factor model can adequately explain most of the variations I am concerned about. The trade-off is reasonable because, after all, the right balance should be achieved where "the failure of any of the assumptions to hold does not systematically and significantly bias the conclusion of the model" (Baldwin 1971:127).

A number of instances in politics across OECD countries, especially outside of the Northern European social democracies, seem to deviate from my expectations. Left parties in governments may not always pursue the strategy that adds to the homogeneity across all labor groups; in some instances, we may witness left parties employing social protection to demobilize some of their "natural" constituencies (see, for example, Krouwel 2012; Watson 2008). In fact, such phenomena are not limited to OECD countries. In less-developed countries, similar developments are also obvious, such as the "rupture" of the Party-Labor linkage in Argentina and the general failure of left governments to reduce income and wealth inequality in Chile (Levitsky 2003; Thachil 2014; Weyland, Madrid, and Hunter 2010). Such deviations may occur to capital owners and right-leaning parties as well (Berezin 2009).[7]

Theoretically, a useful extension of current analysis is to go beyond the original two-factor assumption and move into a higher-dimension multi-factor model. For example, rather than assuming the single factor of labor, we would allow unskilled, semiskilled, and professional labor factors, with each kind of labor treated the same as in the original 2 x 2 model. However, algebraic derivation shows that the multifactor model would not fundamentally change the predictions based on the traditional 2 x 2 factor endowment model, that is, a country will export the services of abundant factors and import the services of scarce factors (see Leamer 1984:11–18). As the factor endowment model serves as the theoretical basis on which my analysis builds, for the purpose here, it is easy to infer that even in a multifactor framework, solidarity within each individual factor is increasing with the rise of intersectoral mobility for that factor, and solidarity within other factor(s) is decreasing at the same time. In the empirical analysis of this article, I will revisit this issue again.

[7]This discussion is inspired by the comments of two anonymous reviewers.

Unions and their Moderation Effects

Some political economy factors may mediate the process of partisan manipulation of labor mobility; specifically, labor unions at various levels can play important roles in aggregating and representing the economic demands and political preferences of labor owners as well as exerting their independent impact on labor markets and government policies. In this way, they can help shape the labor market equilibria, especially in capitalist democracies.

Álvarez, Garrett, and Lange (1991) argue that, when left governments are coupled with centralized labor movement, or when right governments are coupled with weak labor movement, the macroeconomic performance of the country will be better than it would be in other combinations. Garrett (1998) further develops the idea of the encompassness of labor movement. He argues that macroeconomic performance will be good when the political economies are coherent, and macroeconomic performance will be worse when the political economies are not coherent. He defines *coherence* as either when left-wing governments are allied with encompassing labor market institutions or when right-wing governments are combined with weak institutions in the labor market. In addition, many researchers argue that labor unions and other labor market institutions must be considered as the integral parts of modern capitalist economies and that they condition many of the political economic outcomes (Hall and Franzese 1998; Hall and Soskice 2001b; Pontusson 2005; Wallerstein 1990, 1999).[8]

I consider the ability of labor unions to intervene in labor markets, as indicated by union centralization. According to Golden (1993) and Golden, Lange, and Wallerstein (2006), *labor union centralization* refers to the degree of internal authority exercised by union confederations over lower-level organizational bodies. *Confederations* refer to labor's central peak associations; they comprise individual national unions and are multisectoral, economy-wide bodies engaged to varying degrees in collective bargaining with government (Golden 1993; Golden et al. 2006). When union centralization is high, the central confederation alone officially calls strikes and may have the authority to negotiate wage agreements, which extend to entire industries or even the whole economy (Golden 1993; Golden et al. 2006).

Under low union centralization, unions at industry or firm levels may be empowered to call strikes separately and sign agreements at their own discretion. Specifically, decentralized unions lean heavily toward extending the interests of their own respective members, even if this may be at the expense of other unions and their members.

[8]It is possible that a parallel process works for the organization of capital, such as the employers' association, but in the opposite direction. However, insofar as interindustry labor mobility is concerned, labor organizations may have more of an immediate and first-order influence than do capital's organizations. Hence the discussion here considers only the organizations of labor.

Decentralized unions usually lack institutionalized coordination among themselves, and the nominal central confederations, if they exist at all, do not possess any real sanction power against the actions of their members. Centralized unions, by contrast, are distinguished by their effective coordination capacity and their possession of sanction power against stray union members. They tend to be the hubs where decisions that concern the welfare of workers would be collected, compromised, and implemented as well as where the expectations of ordinary labor owners about their future economic interests will converge. In this scenario, the fact that unions are centralized means that they would strive to advance the interest of labor owners in general, rather than some subset of labor owners, and they tend to have a high capacity for collective political actions.

For ease of developing the argument, I make the following stylized assumption: Centralized unions strive to improve the welfare for all labor owners, and decentralized unions want to improve the welfare only for some specific groups of labor owners. This is a common assumption in the literature, which argues that each union tries to maximize its members' long-term utility and that centralized union movement is analytically equivalent to an enlarged union that encompasses the entire labor force (Pontusson 2005; Wallerstein 1990).

Well-coordinated unions, aided by peak-level enforcement, tend to be a critical source of political support to policies that benefit general labor. At the same time, the effectiveness of centralized unions is reinforced by labor cohesiveness because, if labor groups have dissimilar economic interests, internal strife will rise. Besides, coordination and sanction will become more costly. Therefore, centralized unions will prefer a cohesive labor class. Given the positive correlation between labor cohesiveness and labor mobility, as discussed before, it may be expected that centralized unions will favor high levels of ILM.[9]

Due to the moderation of union movement, partisan government will strategically pursue their corresponding labor mobility levels, so as to better fulfill their goal of maintaining a supportive constituency. Table 1 shows the government-preferred level of ILM. The top left cell shows that when labor unions are decentralized, left governments are expected to prefer high levels of

Table 1. Government-Preferred Levels of ILM along the Left–Right Dimension under Varying Union Centralization.

	Left Government	Right Government
Decentralized Union	High	Low
Centralized Union	Ambiguous	Ambiguous

[9]In the meantime, unionization and labor mobility levels are largely independent from each other in the short term. See the following for evidence on this point.

ILM to facilitate the implementation of their preferred labor-benefiting policies. High levels of ILM ensure that the economic interests of labor owners are more likely determined by general labor market skills and not by their affiliation with specific industries. Through the mechanism of labor mobility, economic implication of policies will spread to all labor owners; hence, labor owners will acquire a stake in the implementation of labor-benefiting policies. As unions are decentralized, coordinated political support for labor-benefiting policies cannot be forthcoming from labor organizations, so that left governments will have strong incentives to make up for such a lack of support. Because a high degree of labor cohesiveness is conducive to a high level of political support from labor owners, it may be expected that left governments prefer high ILM levels and, when needed, engineer increases of ILM levels.

At the same time, the top right cell shows that when unions are decentralized, right governments prefer to have low levels of ILM to facilitate implementation of their preferred capital-benefiting policies. I have discussed that, with lower ILM levels, the capital class solidarity will be higher. Capital-benefiting policies benefit general capital owners; however, the extent to which capital owners will support capital-benefiting policies is conditioned by cohesion among capital owners. The support tends to increase with the decrease of ILM levels and the consequent increase in capital class solidarity. An absence of centralized unions means that there would be no effective collective actions among labor owners and a lack of coordination among unions to constrain the policy choices of right governments. For right governments whose predisposition is to implement capital-benefiting policies, it becomes rational to favor low ILM levels and to manage to decrease ILM levels when necessary to have higher degrees of support for their policies from their core constituents of capital owners.

When unions are centralized, coordination among labor groups will be common and effective, and labor's concerted political support for left government's labor-benefiting policies tends to be high. As left governments can secure much of the needed political support for policies from centralized unions, their preference for high levels of ILM to achieve cohesive labor constituency tends to subside.[10] However, such a lack of incentive to actively pursue high levels of ILM need not lead to a decline in labor mobility levels, for two reasons. First, centralized unions will moderate. Centralized union movement and its peak associations have a strong interest in maintaining cohesive labor forces and, for this purpose, maintain high levels of ILM. As a critical part of the political support of the left governments, centralized

[10]This is because government interventions are costly; interventions will take substantial amounts of resources that the government might have put to other uses. For example, after controlling for other social spending policies and a host of political economic variables, a 1% increase in unemployment compensation as a share of GDP per capita leads to an increase in labor mobility levels of about 0.3 standard deviations. In essence, left governments can take advantage of the existence of centralized unions to save themselves resources to be used elsewhere.

unions' preference for high labor cohesion (and, by implication, high levels of ILM) tends to be reflected in the policy choices of the left governments. Second, although left governments lack the incentive to actively pursue high ILM, they do not have the incentive to pursue low ILM, as it would be harmful to their political fortune. As a result, when there are centralized unions, as shown in the bottom left cell, I have ambiguous expectations regarding left governments' behavior toward ILM levels.

Under centralized unions, a high capacity for collective action implies that centralized unions can apply considerable constraints on right governments' policies. Had there been no centralized unions, the right governments would likely manage to keep ILM at low levels. However, in the presence of centralized unions, attempts by the right-leaning governments to reduce ILM levels would likely meet strong resistance from these unions. The right governments may have to alter their stance on labor mobility to, among other things, appease the centralized unions (Boix 2000; Garrett 1998). Meanwhile, right governments do not have genuine interests in increasing ILM levels. Hence it may be expected that centralized unions will moderate the right governments' partisan pursuit of low ILM levels, as shown in the bottom right cell, so that the eventual prediction of right governments' effects on ILM levels is not clear.

To summarize, along the left–right political spectrum, I theorize that other things being equal, where unions are decentralized, ILM levels tend to be higher under the left than under the right governments. When there are centralized unions, the distinction between left or right partisanship of government influence on ILM levels becomes unclear and will depend on empirical results, due to the moderation by centralized unions.

It is worth pointing out that this theory calls for analysis of the *level* rather than the *change* of ILM. Although the theory suggests that, in certain situations, the government is fully incentivized to raise or reduce the ILM level, it also argues that the government is motivated not by the change of ILM levels per se but by the ultimate level of ILM that will prevail in the economy. Suppose there is a left-wing government in a country with centralized unions. From the theory, we know that political support can almost certainly be provided by the centralized unions; hence, to increase the ILM level in an effort to boost labor solidarity and garner more political support will not be the most effective use of resources for the left government. Also from the theory, it can be expected that, in this situation, the left government will focus on *maintaining* the level of ILM lest it becomes lower but not on *raising* the ILM level.

The following hypothesis recapitulates the main prediction:

H1: When domestic unions are decentralized, levels of ILM will be higher under left governments than under right governments. Such partisan difference becomes less manifest when union centralization increases.

Empirical Analysis of Partisan Political Influence on Interindustry Labor Mobility

Data and Method

I focus on a sample of OECD countries in the empirical analysis because the operative concepts of partisan politics and unionization tend to be more manifest in advanced industrial countries than in other countries.[11] The dependent variable is the levels of ILM, and I use an elasticity measure of ILM.[12] This measure follows the standard trade literature's definition of ILM, defining labor mobility across sectors as the responsiveness of labor supply upon cross-sector wage differential. Taking advantage of a comprehensive data set from the United Nations Industrial Development Organization (UNIDO) on wage and employment at the country-year-industry level,[13] I estimate this elasticity using the following equation:

$$\ln(E_{it}/E_t) = \alpha_t + \beta_t * \ln(w_{it-1}/w_{t-1}) + \varepsilon_{it} \tag{3}$$

Where E_{it} is the employment in industry i at time t, E_t is total employment of the economy at time t, w_{it-1} is the average wage in industry i at time $t-1$, w_{t-1} is the economy-wide average wage at time $t-1$, ε_{it} is the error term that is assumed to be independent and normally distributed, α_t is the constant term, and β_t is the estimated elasticity measure of ILM in this country-year. Higher elasticity values denote higher ILM levels.

The two main independent variables here are indicators of government partisanship and labor union centralization. For the former, I choose to use the variable on government partisanship created by Kim and Fording (2002). This measure of government partisanship is constructed in two steps. First, Kim and Fording create a measure of party ideology for each country for each election year, according to Laver and Budge's (1992) comparative party manifesto data. Kim and Fording identify within every party manifesto the percentage of pro-left statements and the percentage of pro-right statements according to the 26 categories proposed by Laver and Budge,[14] and compute for each party a standardized measure ranging from 0 to 100, with higher numbers denoting more left-leaning. Second, they collect yearly data for the number of cabinet portfolios for each party in each country and then take the weighted average of party ideology scores, where

[11]An additional reason is that reliable data that enable cross-country comparison over time are readily available for OECD countries, making empirical analysis possible, but such data are difficult to get for other countries. I include controls such as GDP per capita to control for the possible attributes that may be particular to the OECD group.

[12]A second ILM measure, the coefficient of variation (CV) among interindustry wages, has been used in earlier versions of this article. The results based on CV measure strongly corroborate the findings here. These results are not included to save space, and they are available upon request.

[13]As of 2005, UNIDO provides a systemic Industrial Statistics Database at the 3-digit industry level of ISIC code (rev. 2) for 217 countries for the period from 1961 to 2003; the data cover 29 categories of manufacturing sectors.

[14]These categories include, for example, "Free Enterprise" and "Incentives" for the right, and "Regulation of Capitalism" and "Economic Planning" for the left.

the weights are the proportion of total cabinet portfolios held by each party (Kim and Fording 2002). The series of weighted average of party ideology scores will be the final measure of government partisanship. According to Kim and Fording,

> For countries where unified control of government occurs on a regular basis, the government partisanship score reduces to the party ideology score for the party in power. For multi-party governments, however, the measure takes advantage of the information we have about the varying ideologies of the parties and their relative shares of power.[15]

Originally, this government partisanship measure has a range of 0 to 100, with higher numbers denoting more left-leaning; and it has values only for election years.[16,17] For ease of explanation, I recreate this series of government partisanship so that it still has a range of 0 to 100 but with higher numbers denoting the presence of more right-leaning governments.[18] As 1998 is the last year that the Kim and Fording (2002) measure has available data, I use the year 1999 as the last year in my estimation.

For the indicator of labor union centralization, I employ *the level at which wages are determined* from a data set on Union Centralization constructed by Golden et al. (2006). The higher this indicator is, the stronger the union centralization. This indicator takes a value from 1 to 5 where 1 denotes plant-level wage setting, 2 represents industry-level wage setting without sanctions, 3 refers to industry-level wage setting with sanctions, 4 indicates central wage setting without sanctions, and 5 designates central wage setting with sanctions.

In this categorization of union centralization, however, it is not clear what the difference between two values really means. For example, it is not apparent that, when a country's union centralization increases from 1 to 2, the workers' collective bargaining power will increase by the same amount as when a country's union centralization increases from 4 to 5. To alleviate this problem, and in light of the data structure of this variable, I recode union centralization to a more broadly defined ordinal variable so that a value of 0 will mean low union centralization, which is when the original variable takes the values of 1 and 2; a value of 1 in the new variable will mean middle-level union centralization, which is when the original variable takes the value of 3; and a value of 2 in the new variable will mean high union centralization, which is

[15] Kim and Fording 2002:191.

[16] This measure registers a value when a government is formed after an election. However, multiple governments may form between two elections, and they will register multiple values in this measure.

[17] It is notable that this measure of government partisanship does not have values for the United States. To deal with this issue, I find another measure by Kim and Fording (2001), where they use a similar method to calculate the median voter ideology; the resultant measure contains data for the United States. I convert this measure of median voter ideology into the same scale as the measure of government partisanship so that they will have the same mean; I then fill in the missing values for the United States using these converted median voter ideology values. This way, I have a measure of "government" partisanship that contains US data. However, when I run the same regressions using the government partisanship series without the US data as a robustness check, the results barely change.

[18] New Var = 100 − Old Var.

when the original variable takes the values of 4 and 5. As a result, the recoded centralization index indicates qualitative differences.

I also include a set of control variables. For demographics, I control for the old-age population by a measure of *total number of people over 65*, as suggested by Huber, Ragin, and Stephens (1993) in their study of welfare spending. The data come from World Bank's (2010) World Development Indicators.

I add five economic controls in the analysis. *Unemployment rate as percent of the total labor force* is included to control for its social economic implications. High unemployment may elicit competition among workers for the limited number of job vacancies; thus, higher unemployment may be conducive to higher labor mobility. I control for the levels of economic development of a country using *GDP per capita* and for *economic openness*. Rickard (2005) suggests that the degree to which a country is exposed to exogenous economic shocks will affect the observed rate of interindustry labor movement, which is her measure of labor mobility. She states that "Exposure to international trade may generate incentives for labor to move between industries" (Rickard 2005:28). Hence, more *openness* will lead to higher ILM.

GDP growth indicates the general health of an economy. The higher GDP growth, the larger the chance that salaries grow as well. It then follows that a larger-than-usual wage differential would be required for a worker to consider changing industries. Therefore, the labor sensitivity to wage signals, that is, labor mobility, will be lower. Finally, I add the economic variable of the *inflation rate*, as measured by the percentage change in the same period of the previous year of the consumer prices of all goods and services. There are strong economic arguments, such as the Phillips curve, which argues that there is an inverse relationship between rate of unemployment and rate of inflation in an economy, and political economists have shown that partisan differences exist with respect to preferred inflation levels. I include inflation rate with the expectation that it will have the opposite impact on ILM as does unemployment. The data for these economic controls come from the World Development Indicators and OECD's Main Economic Indicators (MEI) database.

It may be that in some federal systems in OECD, local governments can affect labor mobility, and the diversity at the subnational level may be conducive to greater ILM levels. I control for this possibility by including a variable of *federalism*, which ranges between 0 and 2, with the higher number indicating higher federalist tendency. The data come from the Database of Political Institutions (DPI2004).

Another distinct political influence on ILM may come from supranational systems such as the European Union, as EU may offer institutional incentives to facilitate ILM. Therefore, I add a dummy variable of EU, coded 1 when the country in question is a member of the European Union in that year, and 0 otherwise.

I use time-series cross-sectional regressions to test the hypothesis that government partisanship will affect ILM levels, and the influences will be moderated by degrees of domestic union centralization. One typical observation in my data set is a country-administration. There are two rationales for using country-administration. First and substantively, partisan manipulation on ILM levels, were it to happen at all, may not automatically occur at any time period, but it will almost certainly occur during the course of an administration. The reason for this is, when subject to a given set of constraints, the partisan governments would likely have the best knowledge about their prospects to pass their preferred policies and would marshal their resources accordingly to maximize such prospects. Manipulation of ILM levels will most likely be done according to their peculiar political schedules so that, even though the immediate effects of such manipulation may not be perceptible, the cumulative effects over an administration are more likely to be significant.

Second, my measure of government partisanship is reported for each country per administration. Because this measure is the main independent variable, it is preferable that the time frame in the analysis coincide with the independent variable so as to avoid the odd scenario where the dependent variable varies but the independent variable(s) do not; as the ILM levels are measured annually, yet a typical administration will last more than two years.

Therefore, the value of the government partisanship variable will be the same as when the particular government was formed,[19] throughout the duration of the government/administration. In the rare cases where multiple governments were formed within the same calendar year, I take the average of the multiple government partisanship scores. For all other variables in the analysis, I take the averages over each country-administration. The final data set thus constructed for OECD countries between 1960 and 1999 will have 381 observations with 24 units (countries) and, on average, 16 time periods (administrations),[20] with the maximum of 34 administrations over 40 years in Switzerland (followed by Italy with 24 governments, and Denmark and Turkey with 22).

In addition, I include the variable *Time*, which indicates the temporal order of administrations within a country. If ILM is not only driven by those variables identified here but also moves upward or downward over time, the *Time* variable will pick up such a trend.

The specification of the baseline model is the following:

$$\begin{aligned} Mobility_{it} = {} & \alpha + \beta_1(gov\_partisanship_{it}) + \beta_2(union\_centralization_{it}) \\ & + \beta_3(par_{it} * cent_{it}) + \beta_4(pop\_over65_{it}) + \beta_5(unempl\_rate_{it}) \\ & + \beta_6(GDP\_pc_{it}) + \beta_7(GDP\_growth_{it}) + \beta_8(openness_{it}) \\ & + \beta_9(cpi\_index_{it}) + \beta_{10}(federalism_{it}) + \beta_{11}(EU_{it}) \\ & + \beta_{12}(Time_i) + u_i + \varepsilon_{it} \end{aligned} \tag{4}$$

[19]The start date of an administration/government is the calendar year in which this government was formed, whether it started in January or December.

[20]This makes the average tenure of an administration to be 2.5 years.

I control for country-specific fixed effects. According to Beck (2001), for time-series cross-sectional data such as this data set, fixed effects are usually the appropriate specification.[21] Based on the structure of the data here, OLS with panel corrected standard errors (PCSEs) is employed as the main estimation method. Furthermore, the empirical results are strongly confirmed by using the feasible generalized least squares (FGLS) method.[22]

Results

Table 2 presents the results using PCSEs according to the baseline specification. In Model 1, government partisanship is the continuous variable, ranging from 0 to 100; in Model 2, government partisanship is recoded into a dummy variable, where partisanship scores higher than the mean (44.73) are coded as 1, meaning the right-wing government partisanship; and those scores lower than the mean are coded as 0 to denote left-wing governments.

First, the coefficient of the government partisanship variable shows a point estimate of the impact of government partisanship on ILM levels when union centralization takes the value of 0 (meaning low union centralization). In Model 1, the coefficient for government partisanship is significant and negative, meaning that an increase of partisanship score (or when a government becomes more right-leaning) will be associated with a decrease in labor mobility levels. The coefficient is (–0.016), which indicates that when unions are decentralized, moving from a typical left government (with mean partisanship score of 31) to a typical right government (with mean partisanship score of 58) will correspond to a decline in ILM of 0.432 (0.016*27) unit, which is over one-third of the standard deviation of ILM.[23] Hence, this point estimate in Model 1 provides the first confirmation of the hypothesis that when the level of domestic union centralization is low, levels of ILM will be higher under left governments than under right governments, after controlling for a host of variables.

In Model 2, government partisanship, measured by a dummy variable, has a negative impact on ILM levels, with a coefficient of (–0.308). Again, this point estimate shows that, under decentralized unionization, if we move from a broadly defined left government (when the partisanship dummy is 0) to a broadly defined right government (when the partisanship dummy is 1), the corresponding ILM level will decline by 0.308, which is about a third of

[21]Fixed-effects models also can mitigate the omitted variable problems. To ensure that fixed effects are warranted, I have checked this with two methods. First, I make sure that the *F*-test after a fixed-effects OLS estimation is significant. Second, I run models in random effects and then perform a Breusch and Pagan Lagrangian multiplier test and ensure that the test rejects the null hypothesis of no country-specific variance. An additional reason why country fixed effects should be controlled in the models is that there may be unobservables in the error term that correlate with the independent variables at the same time, and this can cause another type of endogeneity. Country fixed effects can help alleviate such a type of endogeneity.

[22]To save space, results using FGLS are included in the online appendix to this article.

[23]The elasticity measure of ILM has a standard deviation of 1.12.

Table 2. Estimation of the Partisan Influence on Levels of ILM, Using OLS with PCSEs.

	Model 1	Model 2
Gov Partisanship (continuous)	−0.016**	
	(0.008)	
Gov Partisanship (Dummy)		−0.308
		(0.263)
Union Centralization	0.145	0.442***
	(0.225)	(0.155)
Partisanship*Centralization	0.011**	0.263
	(0.004)	(0.167)
Population over 65	0.620	0.284
	(0.770)	(0.790)
Unemployment	0.062**	0.068***
	(0.026)	(0.026)
GDP PPP per capita	0.068**	0.066**
	(0.027)	(0.029)
Openness	0.002	0.004
	(0.009)	(0.010)
GDP Growth	−0.075***	−0.072**
	(0.028)	(0.029)
Inflation	−0.010	0.005
	(0.023)	(0.024)
Federalism	0.100	0.220
	(0.624)	(0.646)
EU Membership	1.224***	1.219***
	(0.210)	(0.205)
Time period	−0.119**	−0.093
	(0.057)	(0.057)
Constant	−9.980	−6.299
	(10.942)	(11.278)
Observations	119	119
# of Countries	16	16
Wald chi^2	1371.604	1555.368
Prob>chi^2	0.000	0.000
R^2	0.850	0.838

Note. Estimated using OLS with PCSEs, country fixed effects, all models assume heteroskedastic panels and AR(1). Panel corrected standard errors in parentheses, country effects not reported.
*$p < .10$, **$p < .05$, ***$p < .01$.

the standard deviation of ILM as measured in elasticity. This result largely confirms the hypothesis.

There are concerns that the theoretical argument in this article may lose some of its relevance after the 1980s, as interests among the left camp especially may have become much more complex, conflictual, or even confrontational (Krouwel 2012; Levitsky 2003; Thachil 2014; Watson 2008; Weyland et al. 2010). To address such concerns, I rerun the above models for the post-1980 period in Table 3.

The estimated coefficients in Table 3 are correctly signed and are significant at even higher confidence levels. Hence, Table 3 strongly supports my hypothesis, and it further shows the presumption that left or right partisan manipulations to favor their respective core constituencies continue to have much empirical relevance in the post-1980 era.

Table 3. Estimation of the Partisan Influence on Levels of ILM, Using OLS with PCSEs, for the Post-1980 Era.

	Model 3	Model 4
Gov Partisanship (continuous)	−0.017**	
	(0.008)	
Gov Partisanship (Dummy)		−0.423
		(0.272)
Union Centralization	0.044	0.376**
	(0.242)	(0.164)
Partisanship*Centralization	0.013***	0.369**
	(0.005)	(0.179)
Population over 65	−0.160	−0.532
	(0.799)	(0.848)
Unemployment	0.052*	0.058**
	(0.027)	(0.027)
GDP PPP per capita	0.056**	0.056*
	(0.028)	(0.029)
Openness	0.014	0.017*
	(0.010)	(0.010)
GDP Growth	−0.104***	−0.096***
	(0.030)	(0.031)
Inflation	−0.020	0.000
	(0.025)	(0.025)
Federalism	0.381	0.542*
	(0.350)	(0.329)
EU Membership	1.100***	1.078***
	(0.225)	(0.223)
Time period	−0.070	−0.043
	(0.062)	(0.062)
Constant	0.305	4.322
	(11.285)	(11.981)
Observations	112	112
# of Countries	16	16
Wald chi^2	1354.694	1508.417
Prob>chi^2	0.000	0.000
R^2	0.868	0.854

Note. Estimated using OLS with PCSEs, country fixed effects, all models assume heteroskedastic panels and AR(1). Panel corrected standard errors in parentheses, country effects not reported.
$^*p < .10$, $^{**}p < .05$, $^{***}p < .01$.

My discussions of the regression results so far have focused on the point estimates; I have not shown how government partisanship will influence ILM levels over a range of values of the moderating variable of union centralization. As a number of scholars have demonstrated that a more intuitive way to report such conditional effects is to present them in graphs (Braumoeller 2004; Brambor, Clark, and Golder 2006), Figure 1 illustrates such marginal influence of government partisanship on ILM over varying union centralization levels and the corresponding 95% confidence intervals. To avoid clustering, it is based on Model 1 in Table 2. The marginal influence of government partisanship on ILM is represented by the circle, and the top and bottom squares represent the 95% confidence intervals.

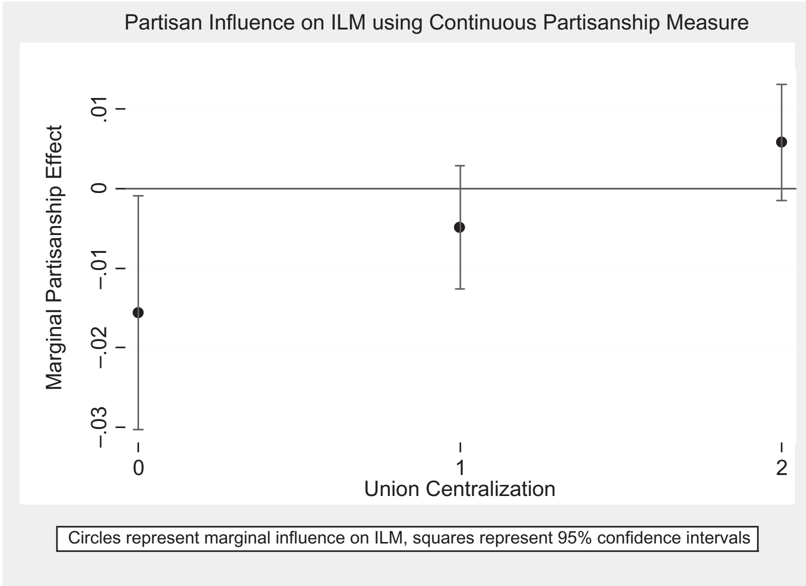

Figure 1. Estimated marginal partisan influence on levels of ILM conditional on union centralization and using PCSE.

In Figure 1, at the point where union centralization is 0, the marginal effect is (–0.016), which is the coefficient for government partisanship in Model 1. Connecting the circles in Figure 1, it is clear that the dashed line slopes upwards as we move rightwards. This shows that, as unions become more centralized, the tendency that labor mobility will be higher under left than under right governments becomes less pronounced. Such an observation confirms the hypothesis that the moderation effect of centralized unions tends to modify the behavior of partisan governments, so that rising union centralization will obscure the prediction of partisanship-ILM association under decentralized unions.[24]

Furthermore, among the control variables, higher unemployment rates significantly increase labor mobility, implying that higher lateral pressure induces more vigorous job-searching efforts on the part of workers. Inflation has almost no impact on labor mobility. Contrary to expectation, higher GDP per capita contributes to a significant increase in labor mobility, which means more wealth enables workers to be better able to respond to price incentives and relocate to a more suitable line of work. European Union membership significantly increases labor mobility, even after controlling a number of other variables. However, economic growth tends to decrease labor mobility, possibly due to people's unwillingness to quit their current work amid general economic prosperity.

[24]Statistical and graphical testing of this hypothesis using alternative labor mobility measure receives strong support.

A Discussion of Possible Endogeneity

Given that researchers have argued that levels of interindustry factor mobility may have shaped the types of domestic political coalitions and have constrained the policy space available to partisan governments (Alt and Gilligan 1994; Hiscox 1999, 2002b; Magee 1980; Mukherjee et al. 2009), there may be concerns that the government partisanship of a country is not independent from the level of ILM. Similar concerns also may be raised for union centralization, so that the regressions I ran may suffer from endogeneity, where the main independent variables of government partisanship and union centralization are determined by interindustry labor mobility, which is my dependent variable.

This concern can be assuaged by clarifying the different time frames used in these studies. Researchers have typically sought the determining effects of the interindustry factor mobility on politics through a long-term perspective,[25] and they have found that, in the long run, factor mobility levels indeed shape various political patterns (Frieden 1991; Hiscox 2002b; Rogowski 1989). However, the theory, hypothesis, and empirical evidence in this article deal with the possible partisan manipulation of ILM in the short run, usually no longer than the duration of an administration. The argument here is that, in the short run, the partisanship of governments can have a significant impact on the levels of ILM, with the working assumption that, in the short run, levels of ILM cannot affect the partisanship of the governments.[26] Hence, the theory here purports to explain the short-term dynamics, the accumulation of which may have long-term effects.

I also address the concern of endogeneity statistically. Firstly, I test reverse causality on the key models. In reverse causality models, the dependent variable is first the continuous measure of government partisanship and then the union centralization level, to test the endogeneity of these variables. Labor mobility level (lagged one period) becomes an independent variable, and the interaction term is dropped, as it will cause collinearity. The expectation is that, in all of the reverse causality models, the coefficients for the ILM variables should be statistically insignificant, meaning that ILM levels of the previous period will have no significant impact on partisanship of the current governments or on current union centralization.

Table 4 presents the results of reverse causality tests, and it is clear from all tests that lagged ILM levels have no statistically significant impact on the contemporary government partisanship or on current union centralization. This finding lends support to the exogeneity assumption of government partisanship and union centralization with regard to ILM.

[25]"Long run" usually means decades in these studies.

[26]This also applies to union centralization. Labor's ability to move across industries will invariably lead to a stronger centralized union in the long run, but it is unlikely that labor mobility changes will translate into differences in union strength in the short run. My assumption is that, in the short run, ILM does affect union centralization.

Table 4. Reverse Causality Tests Using PCSEs. Interindustry Labor Mobility (Lag One Period) as the Independent Variable.

DV= Government Partisanship (continuous)	Reversing Model 1	Reversing Model 3
ILM-Lag1	1.186	1.706
	(2.900)	(3.072)
Union Centralization	5.875	6.974*
	(4.029)	(4.042)
Time period	−1.350	−2.662
	(1.980)	(1.970)
Observations	118	112
# of Countries	16	16
DV= Union Centralization		
ILM-Lag1	0.090	0.054
	(0.080)	(0.085)
Gov Partisanship (continuous)	0.003	0.004
	(0.002)	(0.002)
Time period	0.130***	0.143***
	(0.043)	(0.045)
Observations	118	112
# of Countries	16	16

Note. Table notes similar to previous tables. Results for control variables not reported.
**p* < .10, ***p* < .05, ****p* < .01.

I further support the exogeneity assumption by showing the following correlation table. If ILM levels affect government partisanship or union centralization, then their correlation should be high and robust. I then report the correlation table between ILM variable and unionization and partisanship variables respectively. I correlate these two pairs of variables in different time frames. In addition to using one administration as one time unit, I show their correlations on one year as well as 3/5/10-year moving average basis.

From the results shown in Table 5, it is obvious that interindustry labor mobility has no significant correlation with union centralization or government partisanship regardless of the time frame, which confirms my assumption.

Finally, I use the instrumental variable (IV) approach to address the endogeneity concern regarding government partisanship and union centralization. The difficulty in using this approach lies in finding good instruments that are highly correlated with government partisanship and union centralization yet uncorrelated with ILM. I choose to instrument for union centralization by lagging it one period (correlation coefficient is 0.86) but leave the government partisanship variable as it is. This is because I can reasonably assume that labor mobility in the future cannot influence union centralization at present, while labor mobility in the future may find ways to influence government partisanship now. For example, a government that has just lost the election but has yet to transfer power may engineer a package of policies to change future labor mobility. Such anticipation could invalidate the lagged partisanship as an instrument. I apply the IV approach to the baseline specification as in Model 1. Table 6 presents the results.

Table 5. Pair-Wise Correlation Coefficients.

Time Frame		ILM		ILM
Administration	Union Centralization	0.0195	Government Partisanship	−0.0543
1 year	UC	0.0578	GP	−0.0562
3-year	UC	0.0205	GP	−0.0356
5-year	UC	−0.0177	GP	−0.0110
10-year	UC	0.0849	GP	−0.0615

Note. *significance at or below 5%.

Table 6. Estimation Using Instrumental Variables on Baseline Specification.

Panel A: Using Instrumental Variable Approach, DV=ILM	
Gov't Partisanship (continuous)	−0.015*
	(0.008)
Union Centralization: IV=Lag1	0.251
	(0.385)
Partisanship*Centralization: IV=partisan*cent(lag1)	0.010**
	(0.005)
Time period	−0.138*
	(0.077)
Constant	−11.959
	(14.313)
Observations	119
# of Countries	16
Wald chi^2	68.56
Panel B: Using OLS, DV=ILM	
Gov't Partisanship (continuous)	−0.017**
	(0.007)
Union Centralization	0.123
	(0.231)
Partisanship*Centralization	0.012***
	(0.004)
Time period	−0.132*
	(0.067)
Constant	−11.163
	(12.307)
Observations	119
# of Countries	16

Note. Results for control variables not reported.
*$p < .10$, **$p < .05$, ***$p < .01$.

Panel A of Table 6 shows the results of using the IV approach to address endogeneity; Panel B presents the results of using OLS with country fixed effects as a reference. The main finding is that use of the IV approach yields results that are very similar to those from Model 1 and from Panel B. Coefficients of key independent variables using the IV approach are correctly signed, of the same magnitude, and statistical significant.

The IV results present confirmation that the proposed relationship stands up to an endogeneity test. Further research is desired to identify better instruments for endogeneity.

Conclusion

Authors of political economy literature typically assume domestic cross-sectoral factor mobility to be external to the political processes. I question this assumption and argue, specifically, that ILM may be susceptible to partisan manipulations. I also argue that partisan influences are further conditioned by the institution of centralized unions within the country. Left governments will be associated more with higher ILM levels than right governments when there are decentralized unions. When levels of union centralization rise, however, unions will modify government behavior so that partisan correspondence with different labor mobility levels becomes less clear. Empirical analysis confirms such predictions.

This logic may allow us to speculate, for example, that in countries where pro-labor left governments hold power, they will likely manufacture conditions that contribute to their staying in power and that, among the conditions they manufacture, there are labor mobility levels. Among the advanced industrial countries, a number of Northern European countries fit this description better than do others. However, political and economic shocks that are outside of the control of any individual country may generate myriad shifts in the existing alignments or simply create new ones in the country's political economy, so that the dominance of either a left or right government is unlikely to be indefinite; even the political dominance as robust as the social democracy in Swedish politics may crumble eventually, due to forces such as oil shocks in the 1970s, new development of globalization, and emergence of powerful international competitors like Germany.

Nonetheless, to more fully understand the causation, research should focus on the policy instruments that partisan governments may use to affect ILM. A number of researchers have stated that different combinations of various public social expenditure programs could reflect the differing priorities for different governments (Huber et al. 1993; Rickard 2004, 2005) and have acknowledged that governments can use public social spending programs as important policy instruments to selectively intervene into the economy (Burgoon and Hiscox 2000; Martin and Swank 2004). Following these studies, I have conducted a preliminary time-series cross-sectional analysis of OECD countries and have found that a number of public spending programs, particularly unemployment compensation, labor market training, and employment incentive and services programs, can have a substantial and statistically significant impact on lagged labor mobility levels. Therefore, these programs may be the policy instruments through which partisan governments affect ILM levels. This is, however, a topic for future research.

Although this article focuses on OECD countries, the insight appears more general. It seems that domestic labor mobility profoundly affects a country's policymaking and that governments have incentives to interfere with labor mobility levels. This logic may even apply to developing countries. For example, during China's economic reform, hundreds of millions of peasants left low-paying farming jobs in rural regions to work as peasant workers in higher-paying urban areas.[27] These cross-sectoral labor movements represent higher domestic labor mobility, and they help curb urban-rural income inequality (Brandt and Rawski 2008). Obviously, the decisions of Chinese reformers to relax the labor market regulations made subsequent labor mobility improvement possible, and earlier successful labor market reforms help garner momentum for further economic reforms (Naughton 2007).

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